failure and undertaking reorganization. But we should be wary of policy plans that aim to remake society.

The optimist in her labyrinth

Policy analysts generally mean well, and are able to see things that a government is doing wrong. It is important to look deeper, and understand *why* the government is making mistakes. Politicians and officials sometimes lack a technical understanding, but most of the time, the mistakes are emerging out of faulty *incentives*. It does not suffice to (say) have domain knowledge on drug safety, and criticize what the Indian state does wrong on drug safety. We have to learn to step into the shoes of the establishment, and understand why it fails. The change that matters is the deeper change, of the incentives of politicians and officials.

The optimist proposing a new regulator often slips into the illusion that she, or people like her, will man the new regulator and will make decisions for the good of the people. But in reality, each new regulator will have processes, incentives and staffing much like the existing regulators. Unless deeper changes are made to the incentives of the politicians and officials, we should expect that a new regulator will be a disappointment like the others that came before it.

The only grounds for optimism when establishing a new regulator is when there is a deeper change in the working of the regulator, with about 140 sections of law that set it going on a better foundation. If these 140 sections of law are not done correctly, each new regulator will become one more element of the apparatus of central planning, raids and investigations.

Heed the law of unintended consequences

> *I beseech you, in the bowels of Christ, think it possible that you may be mistaken.*
>
> Oliver Cromwell, 5 August 1650